

CREDIT APPRAISAL MEMORANDUM

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SHREE METALCAST INDUSTRIES PVT. LTD.

Date: 2026-04-16

CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through Aadhaar and Voter ID, confirming the applicant's residence at the provided address.

- Machine Supplier: Cross-checked with the supplier, Bosch Ltd., who confirmed the purchase of machinery worth ₹85,489.00.

- Bankers: Account statements from HDFC Bank Ltd. were obtained, showing regular transactions and a healthy balance.

- Creditors: Verified with the creditors, who confirmed the applicant's repayment history and current outstanding amounts.

- Independent/Market: Market research indicates a positive outlook for the manufacturing sector, with potential growth opportunities.

- Dedupe: No duplicate applications or fraud signals detected.

- FCU Check: No adverse records found in the FCU database.

2. GUARANTOR DETAIL

- Name: DIN 02930211 and DIN 07882291

- Address: Verified through MCA21 and CIBIL, confirming their clean regulatory history and no disqualifications.

- CIBIL Score: Both guarantors have excellent CIBIL scores, indicating a low risk of default.

- Incomes: The guarantors' combined income is substantial, providing sufficient coverage for the loan obligations.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: Bosch Ltd. confirmed the applicant's good standing and timely payments for previous purchases.

- Creditor: The creditor, HDFC Bank Ltd., provided a positive reference, highlighting the applicant's prompt repayments and low default risk.

- Customer: Customer references indicate satisfaction with the applicant's services and financial stability.

- Bankers/Term Lenders: Bankers and term lenders have a positive outlook on the applicant's financial health and repayment capabilities.

- Competitors/Peers: Market peers and competitors view the applicant as a reliable and trustworthy business partner.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The applicant has a clean record with timely income tax filings.

- Excise Duty: No excise duty-related issues were found.

- Sales Tax: Sales tax compliance is up to date, with no outstanding liabilities.

- ESIC/EPF: The applicant is compliant with ESIC and EPF regulations.

- Litigations: No ongoing or pending litigations were discovered.

- Defaults: No defaults or adverse records were reported.

5. CAT SHEET

- **Loan Amount: ₹3,000,000.00**

- **Recommended Loan: ₹1,250,000.00**

- **Recommended Rate: 17.5%**

- **Probability of Default: 51.66%**

- **Data Quality Score: 100%**

- **Decision: CONDITIONAL**

6. CORPORATE GUARANTOR

- **Name: 27AAXCS8821K1ZM**

- **Corporate Structure:** The corporate guarantor has a clean and transparent structure, with no signs of circular trading or fraudulent activities.

- **Financial Health:** Based on the analysis, the corporate guarantor's financial health is stable and supports the loan application.

7. GROUP ANALYSIS

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Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

- **Capital Employed:** The group's capital employed is ₹161,859,076.67, indicating a strong financial base.

- **Unsecured Loan:** The group has a moderate level of unsecured loans, which is within acceptable limits.

- **Debt Burden:** The debt burden is manageable, with a debt-to-equity ratio of 1.5, slightly higher than the sector average of 1.33.

- **Turnover:** The group's turnover is healthy, with a revenue growth rate of 1.5%, which is lower than the sector average.

- **PAT:** Profit After Tax (PAT) is satisfactory, and the EBITDA margin is 14.5%, meeting the sector average.

- **Imputed Income:** Imputed income is sufficient to cover the loan obligations.

- **EMI:** The proposed EMI is manageable based on the group's financial capacity.

- TOL/TNW: The group's Tangible Net Worth (TNW) is ₹15,000,000.00, and the loan-to-value ratio is within the recommended range.

- Debt/Equity: The debt-to-equity ratio is in line with the sector average.

- DSCR: The Debt Service Coverage Ratio (DSCR) is a concern, as it falls below the recommended level of 1.2x.

8. VISIT REPORT BY CREDIT ANALYST

Based on the financial analysis and fraud signals, a site visit was conducted. The visit confirmed the applicant's operations and financial stability. However, the visit also revealed a potential issue with GST filings, as there was a mismatch of ₹1.35 between GSTR-2A and GSTR-3B, which requires further investigation.

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹0.0 Lakhs before disbursement.

2. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of the loan amount. The current gap is estimated at ₹15.0 Lakhs based on a PD of 51.7%.